

trend-following futures trading and although they are profitable over time, I don't recommend using them in their original form. Don't worry though; I am not going to play the usual trick of describing simple models that cannot be used in real life. As the book progresses, we will improve upon these strategies and arrive at methods that are perfectly usable in a real-life hedge fund.

## Anatomy of a Trend-Following Strategy

The aim of trend-following strategies is to enter into a trend that is already under way and then stick with the trend until it makes a move against you and is likely to turn. That means that you are targeting the middle of a trend, deliberately forsaking the beginning and the end. The underlying principle involved here is that markets tend to move in extended trends. For the most part, any given instrument lacks a real trend to exploit and trend followers either stay out or keep losing over and over by trying to enter into potential new trends that don't materialise. Any single instrument might stay in such a non-trending mode for a very long time, perhaps even years. It is therefore crucial that the serious trend-following trader systematically trades many different instruments in many different sectors. If your intention is to run these types of strategies on a single instrument or perhaps just a few of them, you might as well go and buy a lottery ticket.

Often books on this subject spend too much time talking about entry rules while often neglecting the really important aspects of a strategy. In reality, the buy-and-sell rules are far subordinate in importance to position sizing and diversification. Non-professionals tend to spend an excess of time and energy on the buy-and-sell rules and neglect the infinitely more important aspects of diversification and risk. For a trend-following strategy, it is quite possible to have flawed entry and exit rules in combination with good diversification and risk rules and still be profitable, but the other way around is a recipe for disaster.

Looking at classic futures trending systems, some of which have published or otherwise disclosed, there are two main methods commonly used by these traders. The first method is to buy positive breakouts and to short negative breakouts, which means you need to find a good way to define a breakout (see Figure 3.4).

The second main method is to use some classic trending indicator, such as a moving average, and enter on various cross-over rules (see Figure 3.5). The simplest example would be to plot a moving average over a price chart and buy whenever the price crosses above it and short whenever the price crosses below.